

Sugar Daddies, Sugar Babies, and the Trouble With Tax Forms

Posted on Sep. 15, 2026

By Bridget J. Crawford

Bridget J. Crawford is a professor at Pace University.

In this article, Crawford considers a hypothetical “sugar” relationship to test when payments between intimate partners count as income and when they count as gifts. She also examines a pending lawsuit that shows what can happen when someone tries to settle that question with a tax form.

Copyright 2026 Bridget J. Crawford.
All rights reserved.



BRIDGET J. CRAWFORD

A Hypothetical, to Start

Picture a semiretired executive in his early 60s. Call him “Harold.” Recently divorced and a little bored, he signs up for a website built to match people interested in what its users call a “sugaring arrangement” or just an “arrangement.” That means companionship, conversation, dinner, and perhaps occasional travel, in exchange for financial support. Through the site Harold meets “Chloe,” 24, finishing a graduate degree and working part time. Over the next year and a half, Harold takes Chloe to dinner two or three times a month, pays her rent directly to her landlord, and buys her things she mentions wanting, including a winter coat and a watch for her birthday. When she mentions a plane ticket home for the holidays, he buys that too. Neither Harold nor Chloe signs any written agreement. Neither of them uses the word “salary” or “fee.” When Harold mentions the arrangement to his accountant, he calls it “helping someone out.” When Chloe’s roommate notices the new watch, she calls it “a gift from a friend.”

Eighteen months in, the relationship cools, and Harold starts thinking about things differently. He adds up what he has spent and begins, privately, to call the \$60,000 he has spent in cash transfers and merchandise purchases something else: compensation. Acting on that change of mind, he tells Chloe he intends to issue her a Form 1099 reporting the total as nonemployee compensation, and he does just that.

Did Harold pay Chloe compensation, or did he make gifts to her?

The tax rules are clear: Compensation for services is income; gifts are not. How to apply those rules is less obvious.

What ‘Sugaring’ Actually Is

“Sugar” relationships are not new, but the marketplace built around them is a fairly recent and organized phenomenon. There are dedicated platforms that let a better-resourced, typically older partner connect with a less-resourced, typically younger partner around the expectation of an exchange of money, gifts, or living expenses for companionship and time. That exchange usually, but not always, includes physical intimacy, too.

My research of internet-based forums for those in sugaring relationships reveals that the dominant refrain among the participants is that the payer is making “gifts” to the payee, “spoiling” the recipient or simply being generous.¹ That framing allows each side to describe the relationship to themselves and to everyone around them as something *other than* a commercial transaction. Yet there is a strong counternarrative — mostly among payers — that they are, in fact, compensating their payees for services.

So, which is it, and why does it matter?

Gifts, Income, and a Test Nobody Can Apply With Confidence

Gross income includes “compensation for services,” which is extremely broad.² Gifts are carved back out of that definition by [section 102](#), which provides that gross income does not include the value of property acquired by gift.³ For both Chloe and Harold, whether the transfers are compensation or gifts has tax consequences. Chloe will recognize income if the transfers are compensation, but not if they are gifts. Depending on the specifics of her relationship with Harold, the laws of applicable jurisdiction, and her life, Chloe may be worried about exposing herself to scrutiny from family, friends, or even the IRS. Specifically, if she has been trading sex for payments in a state where that behavior is criminalized, Chloe may be reluctant to file an income tax return disclosing her receipts. But if this is compensation for services, Chloe is supposed to recognize and report the payments as income, regardless of the nature of the underlying activity.⁴ There is no Fifth Amendment privilege against self-incrimination that would permit Chloe to decline to file or omit income.⁵ Of course, Harold himself might equally be worried about legal exposure on account of his payments if he would be treated as having purchased sexual services.

Harold has another tax reason to be interested in the characterizations of his transfers to Chloe. If his transfers are not income to her, then they might be taxable gifts.⁶ Amounts exceeding the annual exclusion amount (\$19,000 in 2026), other than direct medical and educational payments, are taxable gifts.⁷ Therefore, if Harold made gifts of more than \$19,000 to Chloe in 2026, he must file a gift tax return, even if the transfers will be fully covered by his lifetime exemption.⁸ If Harold has not yet exhausted his basic exclusion amount (\$15 million in 2026), he may not owe any actual gift tax.⁹ But if he has already used his basic exclusion amount, he will owe gift tax.¹⁰

To determine the nature of Harold's transfers, one starts with the Supreme Court's definition (of sorts) in *Duberstein*.¹¹ In that case, the Court famously said that a gift proceeds from "detached and disinterested generosity"; it is a transfer made "out of affection, respect, admiration, charity, or like impulses."¹² In contrast, where a transfer is in return for services rendered, made "out of a moral or legal duty," or motivated by an "anticipated benefit of an economic nature," it is not a gift; it is income to the recipient.¹³ The *Duberstein* Court makes clear that the legal result turns on the factual inquiry into the transferor's "dominant reason" for the transfer.¹⁴ The parties do not get to choose how the transfer is treated for income tax purposes.

Then, on the gift tax side, determining whether a transferor has made a gift has a more mathematical quality. [Section 2501](#) imposes a tax on the transfer of property by gift.¹⁵ For gift tax purposes, the definition of a gift is not necessarily the same as the common-law definition or the income tax definition.¹⁶ For gift tax purposes, a taxpayer makes a transfer of property by gift "to the extent that the value of the property transferred by the donor exceeds the value in money or money's worth of the consideration given therefor."¹⁷ In other words, one compares the value of what was transferred "away" to what the transferor received in "return." Generally speaking, in measuring what the transferor receives, the law does not treat "services" provided in the context of a personal relationship — companionship, homemaking, and the like — as money or money's worth.¹⁸ So wholly gratuitous transfers in a traditional dating-type relationship are likely to be treated as taxable gifts.

But Harold and Chloe are not in a traditional relationship; it is one that has explicit terms, typically negotiated in advance. In applying the tax rules to Harold and Chloe, whether the transfers are gifts or income is not crystal clear. Reasonable, well-informed people could look at the identical set of facts and land on opposite sides. Dinner, rent, and a watch look like generosity, if Harold's dominant motive really was affection. One can imagine a wealthy taxpayer who is so smitten with another that he showers her with cash, jewelry, trips, handbags, or other items of value. But these same transfers also look like income, if Harold made the transfers to Chloe to procure her time, attention, and companionship.¹⁹ It may be that Chloe would not continue seeing Harold but for his transfers to her. One can imagine a 24-year-old graduate student might agree to a relationship with a wealthier man in his mid-60s only if he can help her pay for school or living expenses. The facts matter.

Note, under the *Duberstein* test, how much turns on Harold's subjective state of mind, which Chloe may (or may not) be able to determine. That asymmetry is not unique to sugaring relationships; it is true for transfers in a variety of contexts. In fact, there are aspects of Harold's and Chloe's relationship that can find echoes in other eras and other human relationships. What makes sugaring different is that people are more open about the transactional nature of these relationships. The internet has lowered the barriers to both entry and awareness. According to one national poll, roughly 61 percent of all American adults have at least heard of the term "sugar baby," with an estimated 8 percent of people ages 18 to 34 involved in a sugaring relationship.²⁰

Harold's Change of Heart Doesn't Settle Anything

It is tempting to think Harold can resolve his tax questions by deciding, 18 months in, that he was not making gifts to Chloe, and that he had been paying her for services all along. But *Duberstein's* test looks to intent at the time of each transfer rather than to Harold's later, retrospective relabeling driven by the relationship's end.²¹ Just because Harold told his accountant he was "helping someone out" does not mean he was making gifts at the time; just because he now thinks he was paying compensation does not mean he was. Indeed, Harold's motives for making transfers to Chloe could have changed along the way. Perhaps his initial transfers were motivated by a desire to "buy" her time and attention; he could have later become enamored with her, or vice versa. A later change of intention does not retroactively change the tax nature of previous transfers.

For sugaring relationships that are purely transactional, the tax results are clear: The transfers are compensation for services, and the recipient should treat the receipts as income. For sugaring relationships where the motives are wholly donative, the recipient does not have to pay any income tax, and the transferor may owe gift tax. For these relationships where the motives are mixed, the tax consequences are far from obvious.

Does Harold Have to File a Form 1099?

For the sake of argument, suppose that Harold is right and his payments to Chloe really were compensation all along. It does not automatically follow that he must issue a Form 1099-NEC. Under [section 6041](#), the obligation to report nonemployee compensation on an information return applies to payments made "in the course of a trade or business" of the payer.²² An individual who is a teacher, doctor, dentist, firefighter, or park ranger does not engage in a different trade or business merely by paying for another's dinner, rent, or designer handbag. This is true regardless of how large the payment is or however clearly the payments might be characterized between the two of them. The teacher, doctor, dentist, firefighter, or park ranger is not making those transfers in the course of their trade or business. By definition, then, the payer is making a personal expense that does not trigger the obligation to file a Form 1099 reporting payments to the payee.²³

From a policy perspective, this makes sense. Congress requires businesses to issue Forms 1099 to create a paper trail of deductible business expenses (like salaries and compensation). It also creates a record of amounts paid to the recipient, who must report that as income. Because personal payments are nondeductible, [section 6041](#) — which imposes the 1099 obligation — does not apply.

In Harold's case, regardless of whether his transfers are gifts or income, no Form 1099 is required, and he is not entitled to take a deduction for his transfers. Of course, an unscrupulous taxpayer might try to disguise payments by placing his payee on a company payroll, but if the payee is not performing services for the business, then the IRS will recharacterize the payment according to its substance.²⁴ Taxpayers who act in this unscrupulous manner also risk civil payroll tax penalties, fraud penalties, information return and wage statement penalties, and possibly even criminal charges.²⁵

In this light, Harold's statement to Chloe that he intends to issue her a Form 1099 reveals his mental state at the time of that utterance, but it does not retroactively change the tax character of a prior

transfer. If anything, the statement reveals Harold's desire to terminate the relationship and cause Chloe financial inconvenience or even distress by creating a paper trail of payments she likely has consumed.

If It Is Income to Chloe, So What?

It is important to note that from Chloe's perspective — or more precisely, her tax perspective — receipt (or nonreceipt) of a Form 1099 does not change her tax position. If the receipts were income, then she must report and pay taxes regardless of whether a Form 1099 arrives. Note also that with respect to any compensation, Chloe will likely owe self-employment tax: 12.4 percent for Social Security and 2.9 percent for Medicare. From a personal perspective, Chloe undoubtedly will not be happy about receiving the Form 1099; it increases her chance of being audited if she does not declare and pay tax on that income.

The IRS Avoids the Gray Area

Curiously, the IRS has never issued any formal or informal guidance that would provide clear answers to Harold or Chloe, or the many taxpayers who find themselves in similar situations. There is limited case law that is directly applicable, either.

The closest thing there is to official guidance would be the case of *Harris*.²⁶ In that case, the Seventh Circuit reversed the criminal convictions of two sisters who had failed to pay income tax on amounts received from David Kritzik, "a wealthy widower partial to the company of young women."²⁷ Over the course of several years, Kritzik transferred over \$500,000 to each of the sisters.²⁸ For three separate years, Kritzik filed gift tax returns on which he reported some, but not all, of these transfers.²⁹ On a bank form, one sister listed Kritzik as her employer.³⁰ The other sister had a letter from Kritzik in which he proclaimed that he loved her and wanted her to be financially secure.³¹

Instead of remanding for a new trial, the Seventh Circuit reversed the criminal convictions, reasoning that the "current law on the tax treatment of payments to mistresses provided . . . no fair warning that [the taxpayers'] conduct" in failing to report their receipts as income was criminal.³² Indeed, at least in the case of the sister who had been precluded from introducing at trial the evidence of Kritzik's declarations of love, the court stated that the "current authorities" favored her tax position that the receipts were gifts, not income.³³ The court went on to state in dicta that, while it did not "necessarily agree with these authorities, and that the government is free to urge departure from them in a noncriminal context," any "new points of tax law may not be the basis of criminal convictions."³⁴ In other words, the law favored the findings that the payments by Kritzik were gifts, not income, and the court did not necessarily like that interpretation, but there was no support for a criminal conviction in that case.

One reason that there are not more cases involving sugar relationships is that they would be expensive for the government. Whether a transfer is compensation or a gift is a highly fact-intensive investigation, as *Duberstein* explains. Further, if a trial court rules in favor of the taxpayer, the IRS has

an uphill battle on appeal, because of the general deference to the fact finder's determination regarding the transferor's motive.³⁵ In an era when IRS resources are stretched thin, and where the amounts in question tend to be relatively small, these cases simply are not a priority.³⁶

Another, more systemic explanation for the absence of official guidance on the tax aspects of sugaring relationships is the government's general reluctance to become involved in transfers made in the course of relationships that mix payments and sexual or romantic intimacy, unless the relationship is purely transactional (that is, stereotypical "prostitution").³⁷ Sugaring does not fit the traditional definition of prostitution. In the nontax context, courts have declined to label as prostitution the exchange of sexual intimacy for money or property, provided there is also some social element such as companionship or a meal.³⁸ Indeed, in many cases, the line between sugaring and traditional dating is thin. Imagine if the IRS began scrutinizing every meetup that also included some sort of meal or transfer of property to determine whether the receipt was income or a gift. That system would be unadministrable and unwelcome.

Therefore, taxpayers are left with a body of doctrine that answers the question of what a gift is for income tax purposes. *Duberstein* has been good law for over 60 years. The gift tax regulations are clear, too. But despite the stability in the formal law, its application can be complicated. Taxpayers in circumstances like (or very similar to) the Harold and Chloe hypothetical are left to make their own determinations about when a transfer is income and when it is a gift. Undoubtedly, when one partner decides unilaterally to send the other a Form 1099, he is sending a message that can have unintended consequences. These are illustrated by a current case pending in the U.S. District Court for the Middle District of Tennessee.³⁹

The Form That Can Start a Lawsuit

On December 2, 2025, Martin Scott filed a federal civil rights complaint against the city of Nashville and Davidson County; a private GPS monitoring contractor known as Tracking Solutions Inc.; two individual law enforcement officers, namely Tyler Lewis and Brian Cavaliere; and Mallory Withers. For a span of several months in 2023 and 2024, Scott and Withers had what his own pleading calls a "paid sexual arrangement."⁴⁰ In April 2026 Scott amended that complaint, adding substantial new factual details. Withers has since answered both versions, admitting some allegations and disputing others. The other defendants have filed motions to dismiss. On May 27, 2026, Scott motioned for leave to file a second amended complaint adding law enforcement officer Eric Cunningham in his individual capacity and adding additional information and evidence.⁴¹ That motion is currently pending before the court.

Because the case is still at the motion stage, nothing that follows should be read as a finding of fact about anyone's conduct beyond what the parties have actually admitted in their own pleadings. The rest is contested. Although Scott's complaint and Withers's responses are only their versions of events, the broad contours of the case can be gleaned from their filings in the case so far. This account necessarily leaves out multiple details, as the focus here is on tax.

What the Complaint Alleges and What Withers Admits

Scott's first amended complaint alleges, and Withers's answer admits, that she and Scott "were involved in a paid sexual arrangement beginning in late 2023 and lasting into late 2024 in which plaintiff compensated Withers for sexual encounters."⁴² Withers's answer likewise admits that in one text message she described the arrangement in plainly financial terms: "We had an arrangement. You gave me money with each meet and I spent it."⁴³ The parties also appear to agree that the communications between the two "discussed the terms of their sexual encounters and financial compensation."⁴⁴

Scott's complaint states that, in October 2024, he notified Withers in writing that he intended to issue her Forms 1099 for the transfers he had made to her.⁴⁵ On November 14, 2024, before any Form 1099 had been mailed, Withers sought and obtained an ex parte order of protection against Scott.⁴⁶ That order directed Scott to not stalk, threaten to stalk, come about, or directly or indirectly contact Withers.⁴⁷

On November 22, 2024, according to records he provided, Scott electronically submitted a Form 1099 to a third-party IRS e-filing vendor called Tax1099.com.⁴⁸ This form reported \$4,500 in "non-employee compensation" by Scott to Withers in 2023.⁴⁹ According to Scott's electronic records, a third-party mailing service sent that form on November 27, 2024.⁵⁰

Tax Reporting Alleged as 'Contact'

Withers reported to the police that she received the first Form 1099 on December 10, 2024.⁵¹ She told the police that day that she believed that the mailing of Form 1099 constituted unlawful contact by Scott in violation of the November 14, 2024, order of protection.⁵²

According to other records presented by Scott, on December 17, 2024, a third-party service mailed a second Form 1099 (relating to Scott's 2024 transfers to Withers).⁵³ According to Scott's records, this second Form 1099 reported \$194,909.52 in nonemployee compensation by Scott to Withers.⁵⁴

On December 20, 2024, Scott was arrested on the harassment and stalking warrants issued on December 3, 2024 — unrelated to the Forms 1099 — and released on bond the same day.⁵⁵ On December 23, 2024, Withers returned to the police to swear out two additional affidavits: One charged that the mailing of the Form 1099 violated the order of protection;⁵⁶ the other charged Scott with harassment causing emotional distress.⁵⁷ Scott's amended complaint takes issue with Withers's police reports and characterizes the Form 1099 envelopes as marked in a way that plainly identified them as routine bulk vendor mail, as opposed to personal contact from Scott.⁵⁸

On December 26, 2024, Withers received the second Form 1099.⁵⁹

On January 17, 2025, Tyler Lewis, a detective and officer with the Metropolitan Nashville Police Department, swore out a warrant alleging that Scott had violated the no-contact conditions of the bond related to his December 20, 2024, arrest.⁶⁰ The affidavit referred to the second Form 1099 and

alleged that Scott “had made threats” that he would “report money he spent with her during their dating relationship.”⁶¹ Lewis also cited the Form 1099, delivered to Withers on December 26, 2024, as causing “significant emotional distress” to Withers.⁶²

Scott’s Arrest and the Aftermath

On January 29, 2025, Scott was arrested again.⁶³ He was charged with violating the no-contact order on account of the third-party mailing of the Form 1099, as well as aggravated stalking.⁶⁴ After being held for approximately 12 hours, he was released.⁶⁵ As a condition of his release, Scott was required to wear a GPS monitor, which he did for approximately two months.⁶⁶

Three of the six charges originally leveled against Scott were dismissed. Prosecutors presented to a grand jury three charges related to the Form 1099 mailings.⁶⁷ The grand jury declined to indict on one, and Scott was indicted on the other two: harassment and violating the order of protection by sending the Forms 1099.⁶⁸

On October 29, 2025, at a hearing where Withers failed to appear after being subpoenaed, the state dismissed all criminal charges against Scott.⁶⁹

Separate and apart from the facts reviewed here, there are many other aspects of this case, including legal actions that Scott attempted to take against Withers for allegedly fabricating evidence and making false reports, as well as his continuing claims against various public officers, the vendor of the monitoring device, and Withers. Scott continues to pursue those and is awaiting a decision on his motion for leave to file a second amended complaint.⁷⁰

As of this writing, the court has not yet ruled on that motion, but none of the remaining claims relate to the core hypothetical tax issue — at least for purposes of this discussion — of whether Scott’s payments to Withers were income or a gift and whether he correctly issued a Form 1099 to her.

Lessons From This Case

The pair that opened this discussion, Harold and Chloe, are fictional. Scott and Withers are not. Together, the two accounts raise important tax issues.

The Harold and Chloe hypothetical shows why the gift-versus-compensation line is difficult to draw with certainty. Reasonable people applying *Duberstein* in good faith to identical facts could land on opposite conclusions, and nothing about the form of a transfer (that is, cash, rent, a watch) answers the question.

The real-life situation of Scott and Withers presents different aspects of a similar relationship. Both parties acknowledged that their arrangement was sex for compensation, and that would appear to take the scenario out of the realm of gifts. Whether the payee should then report those receipts as income appears to have a technical answer (yes), but the IRS has historically been reluctant to wade into complex personal relationships.

A larger story from Scott and Withers is that sugaring relationships can be unexpectedly complicated. This is especially true when one or both parties decide to use the tax system as a weapon against the other. Scott sent Forms 1099 that were not, on this record, legally necessary. Withers used receipt of tax forms to cause him to be arrested, on the grounds that the mailing of the tax forms violated a no-contact order. This bilateral tax weaponization played out entirely outside the tax system: an order of protection, six criminal warrants, two arrests, months of GPS monitoring, a grand jury indictment, and eventually the dismissal of all those charges, followed by a federal lawsuit that is ongoing.

Despite the need for guidance in the gray area of sugaring relationships, the IRS's silence on this topic is unlikely to end soon for the reasons discussed above. If parties request resolution of the *Duberstein* question, courts may have to wade in, however reluctantly. Parties to these relationships can learn from the situation of Scott and Withers that one person's unilateral decision to issue a tax form to the other may trigger a cascade of extra-tax consequences. Nothing says a relationship is over like a Form 1099.

FOOTNOTES

¹ See Bridget J. Crawford, "Taxing Sugar Babies," 109 *Minn. L. Rev.* 737 (2024).

² [Section 61\(a\)\(1\)](#) (defining gross income to include compensation for services).

³ [Section 102\(a\)](#) (excluding from gross income the value of property acquired by gift).

⁴ See [section 61](#); *Kobey v. United States*, [208 F.2d 583](#), 597 (9th Cir. 1953) (wages "need not be derived from legitimate employment" to be included in gross income); [Rev. Rul. 60-77](#), 1960-1 C.B. 386 (finding that individuals engaged in illegal employment are subject to FICA, Social Security, and similar taxes).

⁵ [Rev. Rul. 2005-19](#), 2005-1 C.B. 819 ("A taxpayer may not properly refuse to file a federal income tax return based on the claim that the requirement to do so violates the prohibition against self-incrimination of the Fifth Amendment to the U.S. Constitution.").

⁶ Sections [2501](#), [2503](#).

⁷ Sections [2501](#), [2503](#); [Rev. Proc. 2025-32](#), 2025-44 IRB 695.

⁸ [Section 6019](#); reg. [section 25.6019-1](#). Instructions for Form 709, "United States Gift (and Generation-Skipping Transfer) Tax Return" (2025).

⁹ [Rev. Proc. 2025-32](#).

¹⁰ Sections [2501](#) and [2503](#); [Rev. Proc. 2025-32](#).

¹¹ *Commissioner v. Duberstein*, [363 U.S. 278](#) (1960).

¹² *Id.* at 285.

¹³ *See id.*

¹⁴ *Id.* at 286.

¹⁵ [Section 2501](#).

¹⁶ *See* reg. [section 25.2512-8](#).

¹⁷ Reg. [section 25.2512-8](#).

¹⁸ *See Wemyss v. Commissioner*, [2 T.C. 876](#) (1943) (finding that a taxpayer's transfer of stock to his fiancée was a taxable gift because her agreement to marry him was not "adequate and full consideration in money or money's worth"). *See also Reynolds v. Commissioner*, [T.C. Memo. 1999-62](#) (1999) (holding that amounts received by one former partner from the other were in settlement of her claims to the payer's property, not compensation for homemaking services).

¹⁹ *Duberstein*, 381 U.S. at 281-282, 292 (holding a Cadillac transferred to a business contact in appreciation for client referrals was taxable compensation, not a gift, regardless of the transferor's own description of it as a gift).

²⁰ Yael Bame, "[Do You Know What a Sugar Baby Is? 61 Percent of Americans Do?](#)" YouGov (June 20, 2017).

²¹ *Duberstein*, 363 U.S. at 285-286.

²² [Section 6041](#).

²³ Instructions for forms 1099-MISC and 1099-NEC (Dec. 2026) (detailing rules relevant here, which have not changed in recent years).

²⁴ [Section 3401](#).

²⁵ *See* [section 7201](#) (attempting to evade or defeat tax); [section 6663](#) (imposing a fraud penalty); [section 6656](#) (failing to deposit taxes); [section 6651](#) (failing to file a return or pay tax). *See also* [IRS Publication 15](#) (2026), (Circular E).

²⁶ *United States v. Harris*, [942 F.2d 1125](#), 1127, 1131 (7th Cir. 1991).

²⁷ *Id.* at 1127.

²⁸ *Id.*

²⁹ *Id.* at 1128.

³⁰ *Id.* at 1129.

³¹ *Id.* at 1130. The trial court did not permit the letter to be introduced into evidence.

³² *Id.* at 1131.

³³ *Id.*

³⁴ *Id.*

³⁵ *Dubenstein*, 363 U.S. at 289-291 (discussing the clearly erroneous standard of review applicable to a factfinder's determination of donative intent).

³⁶ See generally Ben Valdez, "[IRS Staff Shortage to Hit Taxpayer Service, IT Work, Watchdog Says](#)," *Tax Notes Federal*, Nov. 3, 2025, p. 886.

³⁷ See, e.g., *Harris*, 942 F.2d 1125, 1127, 1131.

³⁸ See, e.g., *People v. Johnson*, 376 N.E.2d 381, 384 (Ill. App. Ct. 1978) (stating in dicta that "the Illinois prostitution statute . . . does not discourage exchanges of sexual acts as a part of social companionship or for gifts of material goods"); *Commonwealth v. Potts*, 460 A.2d 1127, 1135 (Pa. Super. 1983) (stating that "this Court wishes to make it clear that the [prostitution] statute in question is not broad enough to proscribe noncommercial sexual activity, such as the exchange of sexual acts as a part of social companionship").

³⁹ Complaint, *Scott v. Metropolitan Government of Nashville and Davidson County*, No. 3:25-cv-01393 (M.D. Tenn. filed Dec. 2, 2025); First Amended Complaint, *Scott*, No. 3:25-cv-01393 (filed Apr. 6, 2026) (superseding the original complaint as the operative pleading); Answer of Mallory Withers, *Scott*, No. 3:25-cv-01393 (filed Feb. 13, 2026) (answering the original complaint); Answer of Mallory Withers to First Amended Complaint, *Scott*, No. 3:25-cv-01393 (filed Apr. 20, 2026). Citations below are to the First Amended Complaint (FAC) and to the answer to it (Withers Answer) unless otherwise noted.

⁴⁰ See FAC at para. 14, *Scott*, No. 3:25-cv-01393; Withers Answer at para. 14 *Scott*, No. 3:25-cv-01393 ("Admitted." — No qualification.).

⁴¹ See Complaint, *Scott*, No. 3:25-cv-01393 (M.D. Tenn.); Attachment 1 to Motion for Leave to File Second Amended Complaint and Memorandum of Law in Support, *Scott*, No. 3:25-cv-01393 (M.D. Tenn. filed May 27, 2026) (Proposed SAC) (motioning to supersede the FAC as the operative pleading).

⁴² See FAC at para. 14, *Scott*, No. 3:25-cv-01393; Withers Answer at para. 14 *Scott*, No. 3:25-cv-01393 ("Admitted." — No qualification.).

⁴³ See FAC at para. 18, *Scott*, No. 3:25-cv-01393; Withers Answer at para. 18 *Scott*, No. 3:25-cv-01393 (“Admitted.” — No qualification.).

⁴⁴ See FAC at para. 18, *Scott*, No. 3:25-cv-01393; Withers Answer at para. 18 *Scott*, No. 3:25-cv-01393 (“Admitted.” — No qualification.).

⁴⁵ FAC at para. 17, *Scott*, No. 3:25-cv-01393.

⁴⁶ Exhibit T to Proposed FAC at 113-115, *Scott*, No. 3:25-cv-01393 (Temporary Order of Protection). See also FAC at para. 24, *Scott*, No. 3:25-cv-01393; Withers Answer at para. 24, *Scott*, No. 3:25-cv-01393 (admitting that defendant sought the November 14, 2024, ex parte order of protection, denying only “the remaining allegations and implications” of that paragraph).

⁴⁷ Exhibit T to Proposed FAC at 1-2, *Scott*, No. 3:25-cv-01393 (Temporary Order of Protection).

⁴⁸ Exhibit J to Proposed FAC at 1, *Scott*, No. 3:25-cv-01393 (electronic record of submission by Scott to Tax1099.com).

⁴⁹ Exhibit I to Proposed FAC at 2, *Scott*, No. 3:25-cv-01393 (copy of Form 1099-NEC for calendar year 2023).

⁵⁰ Exhibit J to Proposed FAC at 1-2, *Scott*, No. 3:25-cv-01393 (electronic record submitted by Scott).

⁵¹ Exhibit N to Proposed FAC at 4, *Scott*, No. 3:25-cv-01393 (Withers’s affidavit regarding “harassment” and “emotional distress”).

⁵² Exhibit K to Proposed FAC at 31, *Scott*, No. 3:25-cv-01393 (transcript of preliminary hearing proceedings, including statement by Withers regarding her actions on Dec. 10, 2024).

⁵³ Exhibit J to Proposed FAC at 2, *Scott*, No. 3:25-cv-01393.

⁵⁴ Exhibit G to Proposed FAC at 2-3, *Scott*, No. 3:25-cv-01393 (Scott’s calculations of transfers to Withers in calendar year 2024).

⁵⁵ FAC at para. 33, *Scott*, No. 3:25-cv-01393.

⁵⁶ Exhibit N to Proposed FAC at 3, *Scott*, No. 3:25-cv-01393.

⁵⁷ *Id.* at 4.

⁵⁸ See FAC at para. 27, *Scott*, No. 3:25-cv-01393; Withers Answer at para. 27, *Scott*, No. 3:25-cv-01393 (denied).

⁵⁹ Exhibit N to Proposed FAC at 5, *Scott*, No. 3:25-cv-01393 (Withers's affidavit regarding "stalking" on account of receipt of the second Form 1099).

⁶⁰ *Id.*

⁶¹ Exhibit N to Proposed FAC at 5, *Scott*, No. 3:25-cv-01393.

⁶² *Id.*

⁶³ Exhibit U to FAC at 1-3, *Scott*, No. 3:25-cv-01393 (Order Granting Bail for Abuse Cases).

⁶⁴ FAC at para. 34, *Scott*, No. 3:25-cv-01393; Exhibit N to Proposed FAC at 5-6, *Scott*, No. 3:25-cv-01393.

⁶⁵ Exhibit U to FAC at 1-3, *Scott*, No. 3:25-cv-01393; FAC at para. 42, *Scott*, No. 3:25-cv-01393.

⁶⁶ Exhibit U to FAC at 1-3, *Scott*, No. 3:25-cv-01393; FAC at para. 42, *Scott*, No. 3:25-cv-01393.

⁶⁷ *Id.*

⁶⁸ FAC at para. 54, *Scott*, No. 3:25-cv-01393.

⁶⁹ FAC at para. 56, *Scott*, No. 3:25-cv-01393.

⁷⁰ See Complaint, *Scott*, No. 3:25-cv-01393 (M.D. Tenn. filed Dec. 2, 2025); Motion for Leave to File Second Amended Complaint and Memorandum of Law in Support, *Scott*, No. 3:25-cv-01393 (M.D. Tenn. filed May 27, 2026) (motioning to supersede the FAC as the operative pleading).

END FOOTNOTES